



Compensation Methodology



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Salary bands were introduced in **November 2022** to ensure transparent and consistent pay across eduki's growing, distributed team. A band defines the minimum and maximum fixed salary for a given job, seniority level, and home country.

Every band is defined by **three dimensions**:

Job (benchmark role) × **Level** (Junior / Intermediate / Senior) × **Location** (home country)

This creates a specific salary range for each combination.



A note on Tech freelancers

Tech freelancers are compensated with a fixed fee benchmarked against their local market. VSOP does not apply. Leveling follows the [Tech Leveling Framework](#).

How bands are structured

Each band contains three salary ranges, one per seniority level. Ranges overlap slightly between levels, reflecting that a high-performing Intermediate can earn more than a new Senior in the same band.

▼  Example: Software Engineer in Germany

- Senior range
- Intermediate range

- Junior range
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Why location matters

We benchmark against companies in the same country as each employee. This accounts for two factors:

-  The **local cost of labour**: average salary levels in that market
-  The **local cost of living**

A salary that is above-market in Germany may be below subsistence in San Francisco, and vice versa.

External benchmarking

We use a professional benchmarking tool connected directly to companies' live salary databases. This avoids the distortions of free salary sites, which often mix job titles, include bonuses in base figures, or use too few data points to be reliable.

Each eduki role is mapped to a benchmark job in the tool by comparing **job descriptions**, not just titles. Mapping is reviewed by trained compensation consultants. Only correctly mapped data is used to set salary ranges.

Yearly salary band adjustments

Every November, all salary bands are reviewed against current market data (**2,000+ data points**). Each job family falls into one of three cases:

- ▼  Case 1: No change

Market salaries unchanged. The band stays as-is. No proactive salary adjustment.

- ▼  Case 2: Market decreased

Band adjusted downward for future hires. Existing edukians are never affected. Salaries are never reduced under any circumstance.

- ▼  Case 3: Market increased

Band and existing salaries are raised automatically. Team leads communicate the adjustment; it takes effect in December.

 In addition to the yearly review, bands are adjusted **ad-hoc** if unexpected market signals arise, for example during a recruitment process where market feedback indicates a band is outdated.